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- Finance does not offer many sure bets. One, for the past few decades, has been that most rich-world sovereign bonds are safe. Those lending cash to all but the diciest governments could feel confident they would get it back, plus interest at a rate set by a free market, and without the principal being inflated away. Bonds also helpfully offset the volatility of stocks by gaining value during recessions. Today, as public debts mount, all that is under threat.
- Since 2000 net government debt in America and Britain has tripled as a share of GDP. In France and Japan, it has doubled. The pile keeps growing: seldom outside wartime or recessions have rich-world deficits been higher than they are today.
- In the 2010s, when borrowing was cheap, even big debts looked manageable. Today, yields are high and rising fast, most recently in response to the expectation that the war in Iran will force up interest rates. Sure enough on September 16th the Federal Reserve raised rates, becoming the fifth major rich-world central bank to do so this year. In expectation of monetary tightening to come, the ten-year Treasury yield has exceeded 5%, a threshold last crossed for any length of time two decades ago. The spreads on French bonds are not far off their levels during the European sovereign-debt crisis. After lying dormant for decades, yields are surging even in Japan. And the less said about Britain's gilts, the better.

Leaders | Not your bond

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Iran will force up interest rates. Sure enough on September 16th the Federal Reserve raised rates, becoming the fifth major rich-world central bank to do so this year. In expectation of monetary tightening to come, the ten-year Treasury yield has exceeded 5%, a threshold last crossed for any length of time two decades ago. The spreads on French bonds are not far off (their levels) during the European sovereign-debt crisis. After lying dormant for decades, yields are surging even in Japan. And the less said about Britain's gilts, the better.

In October 2025 (The Economist) calculated that if America and Britain had to immediately refinance all their debts at prevailing five-year bond yields, they would each need higher taxes or spending cuts worth 2.3% of GDP just to stop debt from rising as a share of the economy. Today, with yields higher, the number in America has more than doubled, to 4.7%. In Britain it has risen to 2.7% even though the government has tightened its belt. France's adjustment stands at 3.9% of GDP, up from 3.1% a year ago.

Fortunately, in the real world governments need not refinance everything all at once. However, they have been shifting towards shorter-term debt, meaning that higher interest rates feed through to budgets more quickly than they did. Issuing short is alluring because it is usually cheaper. There is also less demand for long-term debt these days, because the defined-benefit pension funds that have long hungered for it are shrinking. But short-term debt and a volatile bond market make for an inflammable mix.

It is not yet too late to solve the problem. Like other rich countries, Switzerland has an ageing population. But it is in fine fiscal fettle, with low debt, little inflation and bond yields that have correspondingly stayed low. Motivated governments have cut big deficits before. Sweden vanquished 11% deficits in the 1990s, splitting the job between spending cuts, tax rises and supply-side reforms to boost growth. "Be Swiss or Scandi" may not be realistic advice, but even "Be Greek" would do. Greece has pulled debt-to-GDP down sharply. This summer it issued bonds with lower yields than France's.

The trouble is that the next few years' politics are perilous. In France big-spending populists are looking strong ahead of a presidential election in 2027. In America, which elects a new president in 2028, Democrats and Republicans are vying to promise ever-bigger cheques (literally, in the case of the \$5,000 payouts Donald Trump proposed as a reward if Republicans win Congress in the midterms). Britain and Germany, each with its own fiscally lax populists, go to the polls in 2029.

Politicians may well hope that surging growth from an artificial-intelligence boom will miraculously rescue them from painful budget negotiations. South Korea's government

projects that taxes from chipmaking proceeds will all but eliminate its budget deficit next year. But the productivity growth required to tame deficits is well above what most economists see as plausible, and in any case higher growth also raises interest rates.

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What happens next? Among big debtors only Britain, which faced a market revolt after Liz Truss's disastrous mini-budget in 2022, has a (semi-serious) plan to tighten. Expect more Truss-like moments elsewhere. Wise governments will respond with sounder budgeting; louche ones with financial shenanigans. Scott Bessent, America's treasury secretary, began directly intervening in the Treasury market in August in a futile attempt to suppress yields.

In a recession, more serious trouble could come. It is not inevitable that bond yields fall in downturns. That often fails to happen in emerging markets; and it didn't in the rich world during the 1970s. Even a smaller-than-usual decline in yields would worsen the economic pain and compound the hit to budgets from higher unemployment. Bond markets, once havens, will have become danger zones. #